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March 5, 2026

COMMITTEE SUBSTITUTE
FOR

SENATE BILL NO. 259

By: Howard of the Senate

and

Newton of the House

[water and water rights - groundwater - reporting requirements - fines and penalties - exclusions - complaints - metering and measurement - schedule - rules - duties - codification - effective date]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 82 O.S. 2021, Section 1020.12, is amended to read as follows:

Section 1020.12. A. Holders of permits shall be required to report to the Oklahoma Water Resources Board annually their use of water pursuant to their permits. Holders of permits shall remit the report as required by the Board in the period following the permitted use. Willful failure to report annual usage may result in ~~cancellation~~ penalties, fines, or suspension of the permit by the Board upon proper notice and hearing as provided in the Administrative Procedures Act. Nonuse, conservation, or usage practices that result in less usage than the permit maximum shall

1 not result in diminishment of the permit holder's future permitted
2 equal proportional share.

3 B. Holders of permits which use groundwater in connection with
4 an animal feeding operation which houses swine and primarily uses a
5 liquid waste management system where animals are primarily housed in
6 a roof-covered structure shall be required to indicate such use in
7 their annual water use report. Such holders shall also indicate
8 whether or not the animal feeding operation is licensed pursuant to
9 the Oklahoma Concentrated Animal Feeding Operations Act.

10 C. The Board shall notify the ~~State~~ Oklahoma Department of
11 Agriculture, Food, and Forestry of the names and addresses of all
12 permit holders who report usage of groundwater in connection with an
13 animal feeding operation which houses swine and which primarily uses
14 a liquid waste management system where animals are primarily housed
15 in a roof-covered structure and who are not licensed pursuant to the
16 Oklahoma Concentrated Animal Feeding Operations Act.

17 SECTION 2. AMENDATORY 82 O.S. 2021, Section 1020.15, is
18 amended to read as follows:

19 Section 1020.15. A. The Oklahoma Water Resources Board shall
20 not permit any groundwater user to commit waste by:

21 1. Drilling a well, taking, or using groundwater without a
22 permit, except for domestic use as defined in this title;

23 2. Taking more groundwater than is authorized by the permit;
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1 3. Taking or using groundwater in any manner so that the water
2 is lost for beneficial use;

3 4. Transporting groundwater from a well to the place of use in
4 such a manner that there is an excessive loss in transit;

5 5. Using groundwater in such an inefficient manner that
6 excessive losses occur;

7 6. Allowing any groundwater to reach a pervious stratum and be
8 lost into cavernous or otherwise pervious materials encountered in a
9 well;

10 7. Permitting or causing the pollution of a fresh water strata
11 or basin through any act which will permit fresh groundwater
12 polluted by minerals or other waste to filter or otherwise intrude
13 into such a basin or subbasin. The Board shall be precluded from
14 determining whether waste by pollution will occur pursuant to the
15 provisions of this paragraph if the activity for which the applicant
16 or water user intends to or has used the water as specified under
17 Section 1020.9 of this title is required to comply with rules and
18 requirements of or is within the jurisdictional areas of
19 environmental responsibility of the Department of Environmental
20 Quality or the Oklahoma Department of Agriculture, Food, and
21 Forestry;

22 8. Drilling wells and producing groundwater therefrom except in
23 accordance with the well spacing previously determined by the Board;

1 9. Using groundwater for air conditioning or cooling purposes
2 without providing facilities to aerate and reuse such water; or

3 10. ~~Failure~~ Failing to properly plug abandoned water wells in
4 accordance with rules of the Board and file reports thereof.

5 B. Complaints by any individual in violation of the provisions
6 of subsection A of this section shall be made to the Board and to
7 the local groundwater irrigation district, if such district is
8 established pursuant to the Groundwater Irrigation District Act.

9 Investigation of such complaints shall be made by the Board, in
10 conjunction with such other agencies, boards, or the district, with
11 which the Board may contract. Except as otherwise provided by
12 paragraph 7 of subsection A of this section, ~~any employee of the~~
13 ~~Board having evidence that an act of waste is being committed in his~~
14 ~~or her presence, or after investigation of a complaint filed by~~
15 ~~another individual, shall take steps to assure that the waste ceases~~
16 upon review of reporting, audits of usage, an investigation of a
17 complaint filed by any person, or the Board's own independent
18 determination, the Board shall take action to cease commission of
19 such waste and impose fines and penalties on such user as provided
20 in Section 1020.22 of this title. Such steps shall include, but
21 shall not be limited to ~~pursuing voluntary compliance~~, obtaining the
22 issuance of a cease and desist order by the Executive Director of
23 the Oklahoma Water Resources Board, imposing progressive fines and
24 penalties related to the severity and frequency of waste, requiring

1 more frequent reporting of usage, instituting action in a court of
2 competent jurisdiction to enjoin the waste, ~~pursuing a suspension of~~
3 ~~any~~ suspending the permit or other administrative remedies by the
4 Board, and filing a complaint in the district court of the county
5 wherein such violation has occurred, and it shall be the duty of the
6 district attorney of ~~said~~ such county to prosecute such complaint.

7 C. In cases of waste by pollution pursuant to paragraph 7 of
8 subsection A of this section, any complaint or investigation, or any
9 enforcement matter other than an individual proceeding involving the
10 suspension of an Oklahoma Water Resources Board permit, shall be
11 referred to and subject to the jurisdiction of the Department of
12 Environmental Quality or other appropriate state environmental
13 agency or state agency with limited environmental responsibility.

14 SECTION 3. AMENDATORY 82 O.S. 2021, Section 1020.19, is
15 amended to read as follows:

16 Section 1020.19. ~~Upon request of a majority of the landowners~~
17 ~~residing within a basin or subbasin, the Board is authorized to~~
18 ~~require that water wells be metered and that such meters as the~~
19 ~~Board shall approve be utilized by the applicant and placed under~~
20 ~~seal, subject to reading by the agents of the Board at any time.~~

21 A. The Oklahoma Water Resources Board ~~may also~~ shall require
22 that ~~the applicant report the reading of such meters at reasonable~~
23 ~~intervals~~ all water wells requiring a permit to take and use
24 groundwater from the Oklahoma Water Resources Board be equipped at

1 any central point of distribution with water well flow meters or an
2 alternative measuring system as defined by the Board. The water
3 well flow meter or alternative measuring system shall have
4 contemporary, verifiable records, as defined by the Board. The
5 meter or alternative measuring system shall remain on the point of
6 distribution and in proper operating condition at all times when
7 groundwater is being produced. Data from the meter or alternative
8 measuring system shall be reported to the Board annually. Data from
9 the meter or alternative measuring system shall be utilized for the
10 annual groundwater use report. The meter and measurement
11 requirements of this section shall be implemented pursuant to the
12 provisions of Section 4 of this act.

13 B. Beginning January 1, 2027, a five-year allocation of the
14 maximum annual yield of the basin or subbasin may be approved for a
15 regular permit. An applicant for a five-year allocation shall be
16 required to submit annual usage as determined by a water well flow
17 meter or highly accurate alternative measuring device approved by
18 the Board and pay the annual permit fee. If approved by the Board,
19 the applicant may exceed the maximum annual yield in any year of the
20 five-year allocation by an amount as set by the Board, not to exceed
21 one hundred fifty percent (150%) of the amount of any single-year
22 maximum of the permit; provided, the applicant shall adhere to the
23 cumulative permit maximum over the five-year period.

1 C. Except as otherwise provided in this act, the Oklahoma Water
2 Resources Board shall promulgate any rules necessary to implement
3 the provisions of this section.

4 SECTION 4. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section 1020.19A of Title 82, unless
6 there is created a duplication in numbering, reads as follows:

7 A. The Oklahoma Water Resources Board shall promulgate rules to
8 establish a phase-in schedule and plan for the meter and measurement
9 requirements established in Section 1020.19 of Title 82 of the
10 Oklahoma Statutes to ensure that the requirements are implemented
11 statewide not later than eight (8) years following the effective
12 date of this act.

13 B. The Board is authorized to promulgate rules and procedures
14 regarding the spacing of wells within groundwater basins. The
15 determinations made on the spacing of wells within a basin shall be
16 specific to that basin.

17 SECTION 5. NEW LAW A new section of law to be codified
18 in the Oklahoma Statutes as Section 1020.19B of Title 82, unless
19 there is created a duplication in numbering, reads as follows:

20 The Oklahoma Water Resources Board shall promulgate rules and
21 implement policies for the purposes of directing its agents,
22 employees, and systems to:

23 1. Accept, audit, and review reporting on a timely basis from
24 permitted groundwater users;

1 2. Modernize its data collection system with respect to
2 permitted groundwater users and implement a program to receive and
3 index usage reports by an online or electronic system;

4 3. Investigate any claims of waste pursuant to Section 1020.15
5 of Title 82 of the Oklahoma Statutes; and

6 4. Impose fines and penalties for overuse of water allotments
7 under a permit by any permitted well user or waste pursuant to
8 Section 1020.15 of Title 82 of the Oklahoma Statutes.

9 SECTION 6. AMENDATORY 82 O.S. 2021, Section 1085.2, as
10 last amended by Section 3, Chapter 164, O.S.L. 2023 (82 O.S. Supp.
11 2025, Section 1085.2), is amended to read as follows:

12 Section 1085.2. In addition to any and all other authority
13 conferred upon it by law, the Oklahoma Water Resources Board shall
14 also have authority:

15 1. Generally to do all such things as in its judgment may be
16 necessary, proper, or expedient in the accomplishment of its duties;

17 2. To make such contracts and execute such instruments as in
18 the judgment of the Board are necessary or convenient to the
19 exercise of any of the powers conferred upon it by law. Provided,
20 however, no contract shall be made conveying the title or use of any
21 waters of ~~the State of Oklahoma~~ this state to any person, firm,
22 corporation, or other state or subdivision of government, for sale
23 or use in any other state, unless such contract ~~be~~ is specifically
24

1 authorized by an act of the ~~Oklahoma~~ Legislature and thereafter as
2 approved by it;

3 3. To negotiate contracts and other agreements with the federal
4 government to arrange for the development of water resources and for
5 the storage and distribution of water for beneficial purposes;
6 provided, however, that the Board shall act in such capacity only as
7 an intermediary in assisting others, and under no circumstances
8 shall the Board have any power or authority to build, construct, or
9 finance any waterways, dams, or other such projects for itself,
10 except as may be otherwise specifically provided by the laws of this
11 state;

12 4. To develop statewide and local plans to assure the best and
13 most effective use and control of water to meet both the current and
14 long-range needs of the people of ~~Oklahoma~~ this state; to cooperate
15 in such planning with any public or private agency, entity, or
16 person interested in water, and is directed to prepare such plans
17 for consideration and approval by the Legislature; and to aid, at
18 all times, counties, incorporated cities and towns, and special
19 purpose districts in the state in promoting and developing flood
20 control and water conservation in the state;

21 5. To employ and fix the compensation of such officers, agents,
22 attorneys, technical personnel, and employees of the Board as it
23 shall deem necessary to the proper performance of its duties;

24 6. To adopt and use an official seal;

1 7. To promulgate such rules and make orders as it may deem
2 necessary or convenient to the exercise of any of the powers or the
3 performance of any of the duties conferred or imposed upon it by
4 this or any other law;

5 8. To institute and maintain, or to intervene in, any actions
6 or proceedings in or before any court, board, commission, or officer
7 of this or any other state or of the United States to stop or
8 prevent any use, misuse, appropriation, or taking of any of the
9 waters of this state which is in whole or in part in violation of
10 any law, or of any rules, orders, judgments, or decrees of any
11 court, board, commission, or officer of this or any state or of the
12 United States; and to institute and maintain or intervene in any
13 other action or proceeding where the Board deems it necessary to the
14 proper execution and discharge of any of the powers or duties
15 conferred or imposed upon it by law;

16 9. To determine, charge, and receive fees to be collected in
17 advance for the filing and examination of applications for permits
18 to:

- 19 a. construct water use works,
- 20 b. appropriate groundwater,
- 21 c. appropriate stream water,
- 22 d. establish vested rights,
- 23 e. inspect water use works,
- 24 f. file other papers,

- g. make copies of documents,
- h. make prints of maps and drawings,
- i. certify copies of documents, maps, and drawings,
- j. file transfers of water rights,
- k. gauge wells and ditches, changes in point of diversion, and changes in place of use of water,
- l. test wells, and
- m. hold hearings, make records, and provide transcripts of hearings.

Such fees shall not be collected from any state agency or state institution;

10. To negotiate contracts or water compacts with the federal government or any department or bureau thereof, or with any other state for the purpose of obtaining assistance and cooperation in the accomplishment of the purpose of flood control and water conservation and use in the state. To that end, the Board may match funds with the federal government and with other states upon such terms as shall be agreed upon and approved by the Governor of the state, with the limitation that contracts or water compacts with other states for the division and apportionment of the cost and use of the water controlled by interstate projects shall be submitted to and approved by the Legislature of the state and the Governor of the state, and Congress and the President of the United States

conformable to the ~~State~~ Oklahoma Constitution and ~~Federal~~
~~Constitutions~~ the United States Constitution;

11. To accept gifts and grants of money and property or any
interest therein;

12. To provide funding from federal and state monies for water
and wastewater project purposes to eligible entities for preliminary
engineering reports and planning and feasibility studies;

13. To sell or dispose of real or personal property held by the
Board when no longer needed in such manner as provided by law;

14. To make appropriations of water to all special purpose
districts;

15. To execute and deliver, without actual consideration
therefor, a written release of any easement or easement deed
heretofore given to the Oklahoma Conservation Commission ~~of the~~
~~State of Oklahoma, the Planning and Resources Board~~ or the Oklahoma
Water Resources Board on lands situated in this state, whenever it
shall appear to ~~said~~ the Oklahoma Water Resources Board that the
need for such easement or easement deed no longer exists; provided,
the owner of the lands affected shall file a written application for
such release with the Oklahoma Water Resources Board;

16. To review disputes involving service areas or territories,
rates for raw or treated water, and abrogation clauses in contracts
among municipalities and rural water districts or not-for-profit
rural water corporations; to recommend mediation and refer parties

1 in appropriate disputes to mediators and provide technical
2 information to such mediators; and to recommend other means of
3 resolving disputes; provided, that no party to such dispute may
4 initiate action in any district court regarding the dispute until
5 written notice of the dispute has been filed with the Board;
6 provided further, that the provisions of this paragraph shall not be
7 construed to diminish any right of access to the court granted to a
8 party by law;

9 17. To provide workshop training sessions for board members of
10 rural water districts and not-for-profit rural water corporations
11 throughout the year on a regional basis for the purpose of study and
12 instruction in the areas of financing, law, and the ethics, duties,
13 and responsibilities of such board members. Such training shall be
14 provided by the Board in conjunction with the Oklahoma Rural Water
15 Association as required by law. To the extent possible, the Board
16 shall attempt to schedule training workshops in three-hour segments
17 to be held in any public facility at a time convenient to the
18 attendees;

19 18. To establish an agency special account through the Office
20 of Management and Enterprise Services and the ~~State Treasurer's~~
21 Office of the State Treasurer as necessary for the collection and
22 distribution of funds, including funds of sponsors and registration
23 fees related to conferences, meetings, and training sessions; and
24

1 19. To accredit persons having requisite knowledge in
2 floodplain management and in minimization and prevention of flood
3 hazards and losses; and

4 20. To impose fines and penalties for overuse of water
5 allotments by any permitted well user or any unpermitted well user
6 who is not a domestic user pursuant to this title. Such fines and
7 penalties shall be progressive in nature related to severity and
8 frequency of overuse or unpermitted use and shall result in
9 suspension of a permit upon findings of willful disregard of
10 requirements by the user or multiple infractions by any permitted
11 user over the entirety of the user's permits.

12 SECTION 7. This act shall become effective November 1, 2026.

13 COMMITTEE REPORT BY: COMMITTEE ON ENERGY
14 March 5, 2026 - DO PASS AS AMENDED BY CS
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